

Be tax aware

Your goal is to follow the IRS guidelines while keeping the maximum amount of your returns after taxes. This is easier to accomplish than it sounds.

Substitute low-cost, tax-efficient ETFs for more expensive mutual funds in any taxable account. Max out your tax-deferred accounts (especially those with matching company funds). Use software to increase your tax loss harvesting. Be aware of where you locate your holdings, and what goes into taxable and qualified accounts. Reducing fees is a sure-fire way to improve long-term results.

Your behavior

Unforced errors are avoidable mistakes. None of these terrible outcomes you have been reading about were inevitable. They were all the result of someone making bad or even catastrophic decisions. The purpose of this book is to help you avoid these mistakes.

Many investors are their own worst enemies, but they don't have to be...

Asset allocation

Of all the positive steps you take, your mix of how much stocks, bonds, and cash you have matters a lot. The decisions you make about the mix of your assets have a far greater impact on your success than your stock picking or market timing. This too has been proved repeatedly in academic studies and the real world.

If your allocation mix contained too much cash or too few equities, you probably missed out on the giant rally in stocks since March 2009 or March 2020. And now that bonds are yielding something, you may want to rethink your mix and duration.

Stock picking may be fun, but asset allocation is where you make your